Nestlé India Ltd

Concall Tracker, Q2 2027 update | Report date: 6 Nov 2026 | NSE NESTLEIND, BSE 500790 | Builds on the Q1-2027 report

Nestlé India is the Indian arm of the Swiss food company. It sells everyday branded food and drink: Maggi noodles, Nescafé coffee, KitKat and Munch chocolates, Milkmaid, Cerelac and Lactogen baby nutrition, plus Purina pet food and Nespresso. It makes money on brands strong enough to charge a bit more than what milk, coffee, cocoa and wheat cost.

1. Snapshot

Measure	Value	Plain-English read
Market value	₹2.48 lakh cr	One of India's most valuable food companies.
Share price (52-week range)	₹1,282 (₹1,147 to ₹1,553)	Near the low end. It fell close to 9% on the day results came out, 15 Oct 2026.
Price-to-earnings (P/E)	~62	Buyers pay about ₹62 for every ₹1 of yearly profit. A premium price, normal for top Indian consumer brands.
Q2 FY27 sales (Jul-Sep 2026)	₹6,782 cr	Up 20.5% on a year ago. Fast, though a notch slower than Q1's 25%.
Q2 FY27 operating margin	23.8%	About ₹24 of operating profit per ₹100 of sales. Up two points on last year, flat on Q1.
Q2 FY27 net profit	₹1,027 cr	Up 36% on last year's ₹753 cr, which had been squeezed by high coffee and cocoa costs.
Return on capital	~84%	Very high, because the business needs little money tied up and has almost no debt.

2. Concall coverage

Event	Date	Coverage
H1 CY2022 call to FY26 (calls, meets and web deep-dive)	Jul 2022 to Mar 2026	Carried forward from earlier reports
Analyst & Institutional Investor Meet 2026 (prior boundary)	4 Aug 2026	Read in full in the Q1-2027 report
Q2 FY27 results ★	15 Oct 2026	No call held. Web deep-dive

No new concall transcript was available on Screener. This quarter is based on a web deep-dive. Nestlé India doesn't hold a call every quarter; its yearly analyst meet was in August. Sources: the company's Q2 FY27 results press release (as reported by MediaInfoline and Free Press Journal), the INDmoney results analysis, and Screener.in quarterly financials.

★ Latest update highlights - Q2 FY27 results (15 Oct 2026, press release)

- **Still volume-led and broad.** Sales up 20.5%, India sales up 20.4%. CMD Manish Tiwary said every product group grew double-digit in volume. Plain read: people are buying more packs, not just paying more for each one.
- **Every category moved.** KitKat gained market share. Nescafé Gold grew strongly and ready-to-drink coffee scaled up. Maggi spread further into villages. Baby nutrition improved and toddler products gained share. Pet food and out-of-home both grew double-digit.
- **Ads up again, margin held.** Advertising rose 46%, yet operating margin went up two points on last year because raw materials fell to 43.1% of product sales from 45.5%.
- **Costs flagged.** Management called out food inflation, sugar and edible oil stuck at high levels and choppy cocoa. Coffee and wheat should stay steady. No numbers guidance.
- **Market reaction: down.** The stock fell close to 9% on the day. Growth slowed from Q1, and H1 operating cash flow was slightly lower than a year ago even though profit rose 42%, as inventory built up.

Business mix & capacity

Domestic vs export: about 96% India / 4% exports (exports ₹267 cr in Q2, up about 22%). Plain read: almost entirely an India business.
Capacity utilisation: not disclosed. In August KitKat had run out of capacity and new Maggi and Munch lines had just come on, with the Odisha plant under way. No new capacity news this quarter.

★ Since our last report

Builds on the Q1-2027 report (boundary: Analyst Meet, 4 Aug 2026). Prior verdicts: trigger YES, consistency YES.

Prior read	What we said then	What the new quarter shows	Movement
Earning trigger	Penetration plus premium, double-digit volumes	Double-digit volumes in every group; sales +20.5%	Confirmed
Consistency	New MD's first year went well	Same strategy and words; growth and margin held	Confirmed
"Won't chase growth at the cost of margin"	CFO's promise in August	Margin up two points on last year with ad spend up 46%	On-track
Tougher comparisons after GST boost	Flagged as the main risk	Growth eased from Q1's pace but stayed high	Watch
Rising costs	Food, energy, packaging pressure flagged	Raised again; not yet hurting margin	Watch

Verdict change this quarter: both unchanged at YES. Nothing in the quarter broke the story. The cooler growth rate and softer cash flow are worth watching, which is what the market reacted to.

★ 3. Earning-trigger thesis

Same engine as always: reach more homes, especially in small towns and villages, then get them to trade up. Under the new MD they're pushing harder, with big ad budgets, more rural distributors and quick-commerce apps as a launch pad. This quarter's launches (Nescafé Duo Gusto machine, Maggi variants, cat food, ready-to-drink coffee) feed both reach and premium. The room is real since noodles, chocolate and coffee are still in a minority of homes each month. The risk is that growth was flattered by the sector-wide GST cut, and that ad spend this high only pays if volumes keep coming.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Rural and household reach	Long way to go; rural leads	General trade grew double-digit in every town class, led by rural	Multi-year	Strong	unchanged
Premiumisation	Premium grows faster	Nescafé Gold strong; Nespresso, pet food growing	Medium-long	Strong	unchanged
Ads funded by savings	Margin won't be sacrificed	Ads +46%, margin +2 points on last year	Ongoing	Strong	↑ improving
Quick commerce	Launch pad for new products	Main driver of e-commerce growth	Ongoing	Moderate	unchanged
New arms (pet, out-of-home, Nespresso)	"Acorns" to grow	Pet food and out-of-home double-digit	Long	Moderate	↑ improving

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
2022-2023	Hold volumes through inflation; margins recover; scale rural	Done; Gerber faded	Delivered (Gerber dropped)
Feb 2025	10th plant, premium push, smooth CEO handover	Odisha plant under way; handover done Aug 2025	Delivered
FY26	Volume-led double-digit growth as costs ease	Q4 FY26 best quarter in a decade	Delivered
Aug 2026 meet	Keep volume-led growth; hold margin while spending on ads	Q2 sales +20.5%, volumes double-digit, margin up on last year	Delivered

Narrative drift: none. The October release uses the same words as the August meet: volume-led, broad-based, reach, premium, efficiency. The new MD gives no forward numbers, so there's little to score against, but what he did promise (growth without giving up margin) held again. No call this quarter means no Q&A to test him on the slower growth or the cash flow.

5. Bottom line - two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

A second straight quarter of very fast, volume-led growth across every product group, with margins up on last year despite heavy ad spend. The growth rate is easing from the GST-boosted peak, and costs are rising, so the next couple of quarters will show how much of this sticks.

Management consistent? → YES

vs last quarter: unchanged

Same strategy, same message, and the one thing they committed to, not trading margin for growth, held again. The record under the new MD is still short and he won't give guidance. This quarter's read rests on a press release, not a call.

Sources: Nestlé India Q2 FY27 results press release via MediaInfoline (mediainfoline.com) and Free Press Journal; INDmoney Q2 FY27 results analysis; Screener.in quarterly financials; Analyst Meet (4 Aug 2026) and earlier calls carried forward from the Q1-2027 Concall Tracker report. No Q2 FY27 concall was held. This is not investment advice. Do your own due diligence.